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Recovering Post-Eviction Balances

Unpaid rent, damages and fees after a tenant is gone — the full recovery playbook for Texas landlords

An eviction ends the tenancy; it does not settle the balance. Unpaid rent, damage above the deposit, broken-lease penalties and holdover fees remain owed — and once the tenant has vacated, they are among the hardest dollars in real estate to collect. This paper lays out what is recoverable, the Texas legal framework that governs it, the step-by-step recovery timeline, and how a judgment is actually enforced in Texas.

What is recoverable — and how to make it stick

If it is documented in the lease and properly substantiated, it can be pursued. A professional agency can bundle the full balance into a single, coordinated recovery effort rather than chasing each charge separately:

- **Unpaid rent** from current or former tenants, including accelerated rent where the lease allows
- **Property damage** charged above the security deposit (with move-out documentation)
- **Broken-lease and early-termination** penalties
- **Eviction balances and holdover fees**
- **Late fees** (commonly 5–10% of monthly rent where the lease provides for them)
- **Utility chargebacks**, and where applicable, **HOA fees and assessments**

Documentation is what converts a claim into a collectible balance: the signed lease, the ledger, the itemized move-out statement, dated damage photos, and a record of prior notices. The stronger the file at placement, the faster and more fully it resolves.

The five-phase recovery timeline

Professional property recovery follows a structured escalation. Most balances reach an outside agency at the 60–90 day mark, once internal efforts are exhausted.

PHASE	WHAT HAPPENS
1 · Internal (days 1–30)	The management office sends reminders and applies lease late fees. Every communication is documented — the record matters if the account escalates.
2 · Formal demand (30–60)	A formal “pay-or-quit” notice under the Texas Property Code, with the required notice period. Proper documentation here strengthens any later action.
3 · Agency handover (60–90)	The account is placed with a third-party agency — ledger, lease and prior-contact records included. The agency sends the FDCPA validation letter and honors the 30-day dispute window.
4 · Professional recovery (90–180)	Multi-channel outreach (phone, mail, text, permissible digital) plus daily skip tracing to locate movers, working toward lump-sum settlement or a structured plan.
5 · Legal escalation (180+)	Where negotiation fails and the balance justifies it, civil suit, bank levy and judgment liens — on your authorization, with counsel.

Recovery falls as accounts age. Balances placed at move-out recover meaningfully better than ones that sit for months — the single biggest lever a landlord controls.

The Texas legal framework

ITEM	WHAT IT MEANS FOR RECOVERY
Statute of limitations	Four years on this debt in Texas, and it cannot be revived by a payment. Past four years the balance becomes time-barred for suit — place accounts early.
FDCPA & Regulation F	Residential tenant balances are consumer debt: no contact before 8 AM or after 9 PM, a validation notice within five days of first contact, a 30-day dispute window, contact-frequency limits and required disclosures — on every account.
FCRA & credit reporting	Rental and eviction balances remain fully reportable (unlike medical debt) — to Equifax, Experian, and Experian RentBureau, the rental database landlords screen against. Reporting must be accurate and disputes investigated within 30 days; the tradeline can remain up to seven years.
Judgments	A civil judgment is enforceable for ten years in Texas and can be renewed — and it unlocks the enforcement tools below.

How a judgment is enforced in Texas

A judgment is a court order that unlocks stronger recovery tools. Texas is a debtor-protective state, so what is — and isn’t — available matters:

- **Bank-account garnishment.** With a Writ of Garnishment, non-exempt funds in a debtor's bank account can be reached once a judgment is in hand.
- **Wage garnishment — generally not available.** The Texas Constitution prohibits wage garnishment for ordinary debts. The narrow exceptions are child support, spousal maintenance, student loans and unpaid taxes — not rent. Recovery leans on bank levy and assets instead.
- **Asset seizure & judgment liens.** Non-exempt personal property and an abstract-of-judgment lien on non-exempt real estate can be used to satisfy the balance.
- **What is exempt.** Social Security, retirement accounts, unemployment benefits, certain insurance proceeds and the Texas homestead are typically protected — which is exactly why locating the right, reachable assets (skip tracing) drives outcomes.

The levers that actually move post-eviction balances

- **Skip tracing.** Evicted tenants move; daily, Experian-powered tracing locates the right party — and their reachable assets — when the lease contact data is stale.
- **Credit & RentBureau reporting.** Rental debt still reports (medical debt largely does not) — to Equifax, Experian and Experian RentBureau, the database landlords screen. The entry follows a former tenant to their next lease application — powerful, compliant leverage, included at no charge.
- **Workable payment plans.** More accounts resolve when there is a realistic path to zero than through demand alone.
- **Legal escalation.** For refusals, out-of-state movers and large balances, civil suit and judgment enforcement stay on the table — reviewed with you before any cost is incurred.

What it costs

Property recovery runs on contingency — no upfront cost, and a fee only on what is actually recovered. For multifamily and eviction placements the rate typically ranges from **20% to 50%**, set by three factors: **placement frequency** (how regularly you place accounts), the **volume of the initial placement** opportunity, and the **balance amount** of the accounts placed. Basic skip tracing is included in standard service; only if litigation is authorized do court and attorney costs apply separately, and always with your sign-off first.

Compliance protects the landlord, too

Post-eviction recovery has to be firm and precisely compliant: validation notices, honored disputes, no threats, no harassment, no misrepresentation. Done right, it protects the former tenant, protects your reputation with future residents, and shields you from the liability that sloppy in-house collections can create. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington; for a Texas portfolio, that is a non-issue.

Turn eviction write-offs back into revenue

Send us a representative sample of your post-move-out ledger and we will show you exactly how we would work it — on contingency, with no upfront cost.

Call **(866) 551-4684** · **sdietz@swrecovery.com** · **swrecovery.com**

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